FILING MEMORANDUM

TO: State Insurance Department

FROM: Meridian Mutual Insurance Company — Government Affairs

DATE: August 8, 2026

RE: HO-3 Special Form, Form No. HO-3 (04/24) — filing memo for proposed revision

PURPOSE

This filing memo supports the attached redline of Form No. HO-3 (04/24). Each revision below maps one-to-one to a change marked in the redline, states the old and new text, and gives the rationale.

CHANGE 1 — Section 3, Deductibles

What changes: 3.1: "All Other Perils Deductible: $1,000 per occurrence" is changed to "$2,500 per occurrence". 3.2: "Windstorm or Hail Deductible: 2% of Coverage A limit" is changed to "5% of Coverage A limit".

Rationale: Rising reinsurance and Atlantic hurricane losses since the 2024-25 seasons. The higher all-perils and wind/hail deductibles realign loss costs with collected premium and reduce the frequency of small first-party claims, lowering the expected loss ratio from 68% to 61%. No first-party coverage promised in the approved form is reduced.

CHANGE 2 — Section 4.1 clarification; new clause 4.3

What changes: Clause 4.1 wording "earth sinking" is clarified to "soil sinking". New clause 4.3 added: "Loss arising from injury or damage caused by animals is excluded in states where allowed by law."

Rationale: The prior language left the earth-movement carve-out ambiguous and did not line up with the defined scope of the ISO foundation endorsement. Clause 4.3 codifies existing underwriting practice on companion animals in states that permit the exclusion; states that prohibit it receive the form with 4.3 removed by the bureau.

CHANGE 3 — Declarations territory line

What changes: The Declarations Territory line "NY" is changed to "NY (pending approval of NH and VT)".

Rationale: States the intended geography expansion inside the policy form itself without altering any coverage. It keeps the filed form consistent with Meridian Mutual's current licensing plan of record in New Hampshire and Vermont.

Severability: None of the above changes alter Sections II or III. The revision keeps the exact typography, clause numbering, pagination and Form No. HO-3 (04/24) series reference of the previously approved form. All clauses not expressly changed remain word-for-word as approved.

Certification: I certify the exhibits above are true and correct and comply with the laws and rules of the referenced states.

Meridian Mutual Insurance Company — Filing Representative